US consumer price inflation came in hotter than expected, with headline CPI rising 0.4% month-on-month and core CPI up 0.3%, both a tenth of a percentage point above expectations. No year-on-year rates were published because the government shutdown meant no price data was collected in October 2025

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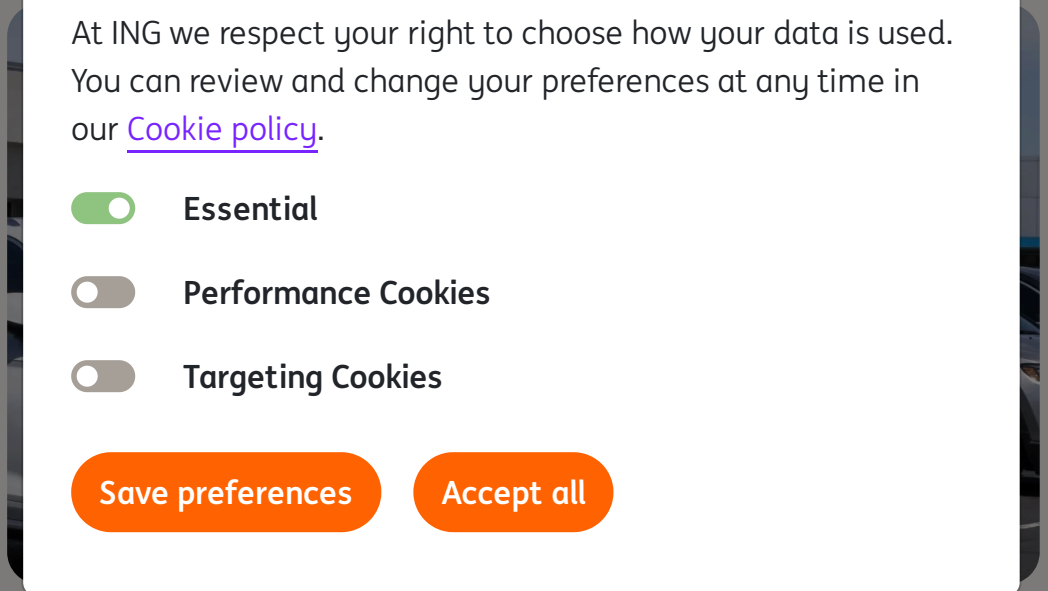

Used vehicle prices fell sharply in October

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There was some softness in the details of today's US CPI report, with new vehicle prices rising just 0.2% month-on-month and used vehicle prices falling 1.2%. But other components were hotter: medical care commodities rose 0.5%, transportation services jumped 0.8%, while shelter, the largest component of the CPI basket, increased 0.3%. Overall, headline CPI rose 0.4% and core 0.3%, both 0.1ppt above consensus.

Following on from Fed Governor Chris Waller's comments earlier today that he backs a 25bp hike in December and could even opt for a 50bp hike, Treasury yields have pushed higher, with the 10Y

and 2Y up 6bp and 13bp, respectively. Markets are now fully pricing in a 25bp hike at the December Fed meeting, in line with our own forecast, versus 20bp from before Waller's comments.

Nonetheless, hopes of a Middle East de-escalation are pulling energy costs lower, with retail gasoline prices now below $4/gallon for the first time since mid-July. If that continues, it should provide a meaningful drag on November headline inflation, but we won't get that data until the day after the December FOMC meeting.

The Fed may get a sneak peek of that data, giving it the confidence to only raise rates by 25bp. We are not forecasting any further hikes in 2027 as interest rate-sensitive sectors cool further, with housing costs and lower energy prices amid weak wage growth dampening p

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Source: Macrobond

US CPI inflation

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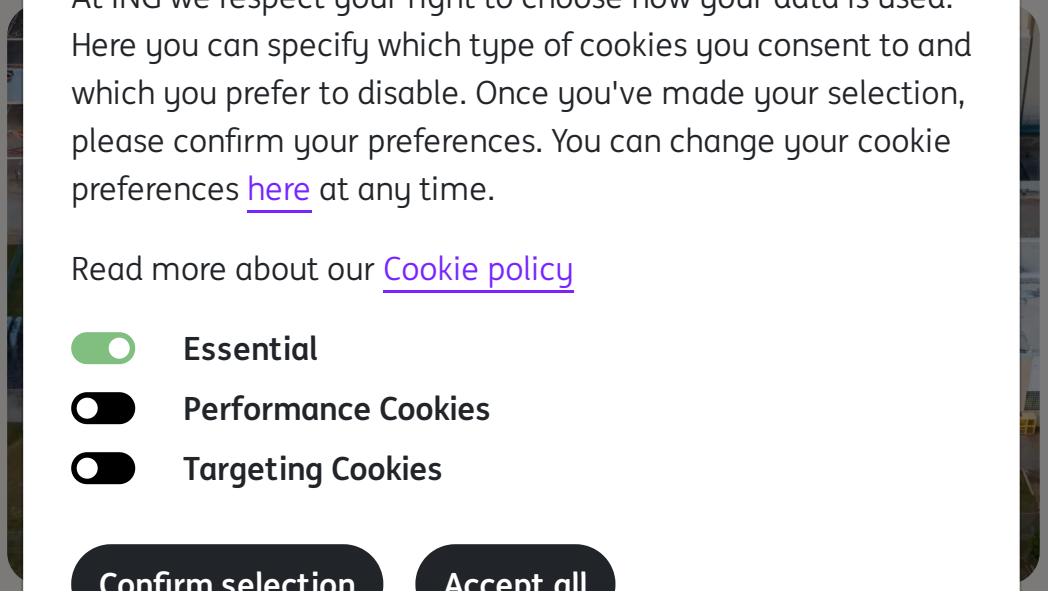
European exports of equipment supporting the US AI build-out have risen strongly since 2022, with power and cooling suppliers gaining both sales and market share. But Europe's share of US imports of AI-related equipment is falling as computing takes a larger slice of the market, where European suppliers have a smaller and declining share



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In our recent article on AI and the global economy, we highlighted Europe's role as a supplier of some of the equipment behind the AI build-out. Europe is therefore not simply watching the US artificial intelligence boom from the sidelines. But how much is it actually benefiting from the surge in US infrastructure investment?

To track Europe's role in the US AI build-out, we use a selected basket of products relevant to AI infrastructure, based on Waugh (2026), including servers, transformers and cooling equipment. These products are not exclusive to AI infrastructure, so the figures do not identify exports specifically destined for AI projects.

Comparing 2022 with the 12 months ending July 2026, annual EU exports of the selected products to the US increased by approximately €10bn, or 55%, in electrical power equipment; €8bn, or 77%, in compute hardware; and €3bn, or 30%, in cooling systems. European suppliers also gained shares of US imports within the selected power and cooling categories.

Yet Europe's share of the overall infrastructure basket has fallen sharply since 2024. European suppliers are gaining ground in some expanding markets, but those markets represent a shrinking proportion of a boom increasingly dominated by computing equipment.

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percentage points, while its cooling share has increased by around 2 percentage points. European suppliers have therefore expanded faster than the corresponding US import markets.

Compute hardware presents a different picture. European exports have increased substantially, making computing the second-largest contributor to the growth in EU exports to the US within the infrastructure basket. However, the EU's share of US compute imports has fallen from roughly 4.5% to below 3%.

Networking exports have also increased, although by much less, while Europe's share of the corresponding US import market has

declined by approximately 4 percentage points.

Speciality materials show a particularly large fall in European market share, but their small weight in the basket means they contribute little to the overall decline.

Europe's export gains come with very different market share outcomes

Change in EU27 exports to the US and EU27 shares of US imports by category, 2022 to the 12 months ending July 2026.

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Europe's share of US imports in the selected infrastructure basket initially rose to nearly 10% in early 2024, then fell to about 5.7% by July 2026. The reversal began in 2024, before the broad US tariff increases on EU imports in 2025.

Instead, the turning point coincided with a sharp change in the composition of US imports. Compute and networking increased from roughly 54% of the basket in early 2024 to approximately 77% by the latest observation. Because Europe has a much smaller position in these categories than in power and cooling equipment, their growing weight has pulled down its aggregate market share.

This does not mean that US demand for supporting infrastructure is falling. Power and cooling markets continue to expand, creating substantial opportunities for European suppliers. Still, they are growing more slowly than computing and therefore account for a declining share of the total. Europe's share of compute and networking imports has also fallen, reinforcing the effect of the changing product mix.

Europe's position reversed as computing came to dominate US AI-related imports

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not produced an aggregate European gain

China's share of US imports in the selected basket has fallen from around 20% in 2020 to below 5% at the latest observation. Taiwan and Southeast Asia have gained strongly, particularly in the later period. Vietnam and Thailand account for more than 90% of Southeast Asia's increase between the 2022 average and the 12 months ending July 2026. Mexico retains a large but comparatively stable position, while Europe's share rose until 2024 before reversing.

These movements should not be interpreted as direct transfers of orders from China. Some of the expansion reflects new demand for different products, while customs data identify the country of origin but not the ownership of manufacturers or the origin of upstream components.

China's declining direct share has therefore coincided with a rapidly expanding US market, but not with a stronger aggregate European position. Europe's gains remain concentrated in particular product categories.

US AI-goods imports are increasingly s

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Vietnam. Latest observation: July 2026.

Source: USITC, ING Economic Research

The trade figures show where US demand is being met, but they do not indicate how far the resulting industrial benefits are spreading across Europe. Production data provides a tentative indication, although the industries concerned are considerably broader than the AI-related product basket used in the trade analysis.

Production gains remain uneven across Europe

Despite the export gains, output in the broader industries supplying this equipment remains below its early-2022 level across the EU as a whole. Compared with the first half of 2022, production in computer and electronic products, electrical equipment and machinery has risen strongly in the Netherlands, Sweden and Hungary. In the Netherlands, this increase is likely to be influenced by ASML and the wider semiconductor-equipment cluster. The corresponding EU27 composite, however, remains around 1.5% lower, with Germany recording a decline of approximately 9%

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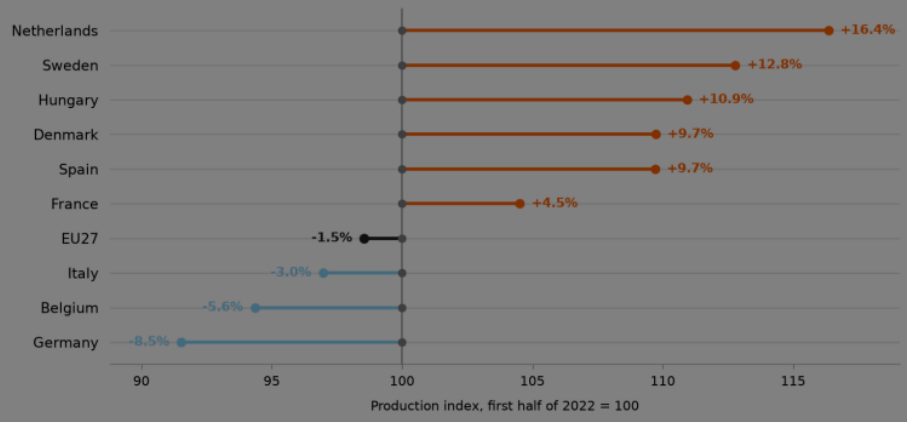

Production covers computer and electronic products, electrical equipment and machinery (NACE C26–C28). Changes compare the latest six-month average with the first half of 2022. These industries extend beyond AI-related equipment, so the figures do not isolate the impact of US AI

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AI infrastructure AI

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Underneath a thick layer of risk and fear, 2027 could turn out to be a surprisingly benign year for the global economy. At least if politics, (AI) investment, stock markets and central banks fall into place at the right time

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and a president who has spent two years reshaping the post-war international order now faces a Congress with the power to push back. In Europe, too, a crowded election calendar will put governments and political alliances to the test. And beyond the ballot box, a different kind of power struggle is playing out: the battle for control of trade, technology and energy. Put it all together, and the outlook starts to read like a high-stakes political thriller.

For two years, one current has dominated the global economy: artificial intelligence. A handful of US tech giants have poured hundreds of billions of dollars into data centres, chips and models,

propping up US growth and carrying equity markets to record highs. In 2027, that surge is likely to ease somewhat. That by itself is not a cause for alarm. The current is spreading into grids, power plants and infrastructure, and into the many firms that are only now beginning to put AI to work. Growth should become less spectacular, but broader. How stock markets respond is for investors to decide.

An important prerequisite for the AI boom to end in a soft landing is falling energy prices. If they do fall, central banks might finally be able to do something they have rarely done since the pandemic: sit on the sidelines. If prices remain high, however, the picture changes.

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East ease, Europe still faces a structural disadvantage: energy remains more expensive than for many of its competitors. This problem still needs to be addressed.

And then there's politics. The impact of the US midterms will clearly spill over into the new year. The question is whether Donald Trump becomes a conventional 'lame duck', or an altogether less predictable 'angry duck'. Early statements from Trump and senior Republicans immediately after the midterm results suggested his final two years in office could be conciliatory. The appointment of

Stephen Miller as White House Chief of Staff, however, points in a more confrontational direction.

While the US is shifting into a new political era, Europe risks following America's populist turn, albeit with a lag measured in years rather than months. Elections in France, Italy, Spain, Poland and possibly even Germany carry the risk of further political fragmentation and more extreme economic policies. Recent riots in many European cities signal that intergenerational conflict, the cost of living and housing affordability have become deep-rooted societal problems across much of the developed world.

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Global Macro Outlook 2027

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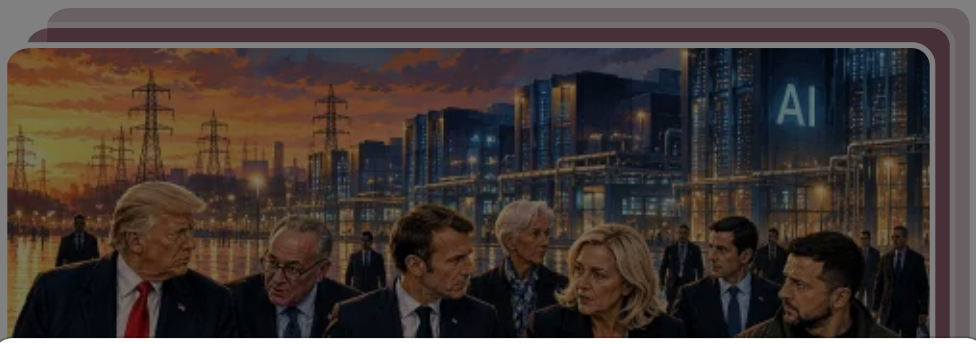

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Despite a long list of risks, 2027 could deliver a surprisingly benign global backdrop of resilient growth, easing inflation and steady central banks. But political disruption in Europe and mounting fiscal pressures could quickly challenge that outlook

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ING's base call: All will be good

The list of potential downside risks is long, but the global economy will enjoy another year of resilience. In the US, the Trump administration is riding into the sunset without disruptive fireworks, sparing the global economy new trade tensions and new wars.

Instead, the investment boom in AI might slow down somewhat, but infrastructure investments and AI adoption will support growth in many economies as energy prices return to more normal levels. At the same time, the current

inflation wave will lose momentum, allowing central banks to keep their powder dry.

The mix of modest growth, slowing inflation and policy rates being only mildly restrictive could surprise many. Admittedly, this is a scenario accompanied by a lot of uncertainty and noise, but underneath this well-known layer of risk and fear, an almost benign macro environment could emerge in 2027. What a nice change.

Our risky call: Transatlantic divide makes an u

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Europe closer together. The irony of 2027 could be that, just as Trump enters his lame-duck period, political divisions within Europe begin to do the damage to European unity that external pressure from Washington never could.

Our bold call: Global fiscal dominance

Our bold call for the global economy sees many governments struggling with the pressures of higher interest rates, rising debt levels and the need to increase investments, while ensuring social or societal peace.

We have seen the script before; it's one that leads to spiralling government debt and even higher interest rates. There are two main ways out of this situation. The first would be a globally coordinated debt restructuring, which is even too bold for this call. The second is imposing direct or indirect pressures on major central banks to restart asset purchase programmes and keep bond yields under control, with the option to still write off government bonds once they are on central banks' balance sheets.

Global outlook

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The dollar should stay supported by strong US growth, high inflation and a Fed threatening to tighten before weakening next spring as inflation falls. An AI correction looms large, and what about attractive overseas growth drawing funds away from the dollar?

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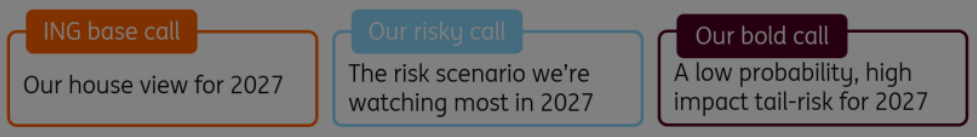
How to read our three calls for 2027



Source: ING

ING's base call: Dollar stays supported until next spring

Our base call assumes that the Federal Reserve stays hawkish in the first quarter, as decent US growth and above-3% inflation keep money markets pricing in the threat of an extended tightening cycle. That turns in the second quarter, when energy-driven base effects drop out of headline inflation and a return to the Fed's 2% inflation target sees short-dated US rates move meaningfully lower.

That timing also suits events in Europe. French budgetary politics look set to keep a risk premium in the euro ahead of April's elections. We therefore see EUR/USD trading offered in a 1.10-15 range over the next four to five months. From the

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lower.

Our bold call: Overseas growth surprises positively

EUR/USD rallied sharply in 2017 when Dutch and French elections saw euro-sceptic parties failing to advance. Having toned down her views on France leaving the euro, a decisive victory by Marine Le Pen in April and greater budget clarity could reassure markets. If eurozone growth continues to defy energy and political headwinds,

a rotation to European assets could be the surprise package for EUR/USD.

We're also watching Japan for signs that it could follow South Korea's lead and deliver stronger growth. There, chip exports have benefited the broader economy and the Bank of Korea revised up this year's GDP forecast to 3.3%, from 1.8% at the start of 2026. Japan supplies the manufacturing equipment and materials for chip production. Broader benefits to the economy from loose fiscal policy could see upside surprises to Japanese growth, tighter Bank of Japan policy and a much weaker USD/JPY.

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Our base call sees yields rising to 5.25-5.5% before easing to 4.5-4.75% as inflation cools. Our risky call has US 10-year yields at 6% and German yields at 4%, while our bold call sees systemic stress triggering de facto yield curve control

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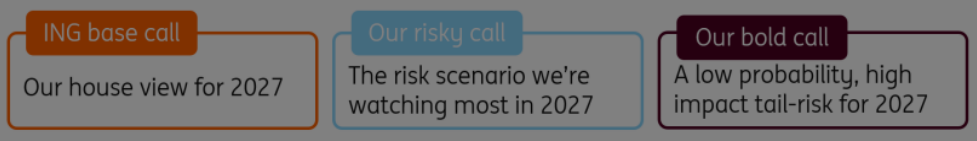

Source: ING

ING's base call: Renewed upward pressure on long rates, but it ultimately wanes

We expect upward pressure on Treasury yields to persist into early 2027, with AI-driven productivity growth, large fiscal deficits and sticky inflation potentially pushing the 10-year towards 5.25-5.50%. The turn should come later as inflation softens and Fed easing expectations return, pulling yields towards 4.50-4.75%. Inflation remains the key threat heading into 2027.

For euro rates, second-round inflation concerns could push 10yr swaps above 4%, but we think markets have gone too far in pricing an ECB terminal rate above 3%. Our end-2027 baseline remains 2.5%, while downside for longer-dated

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tighter for longer, pushing yields higher across the curve.

Second, AI. A genuine economy-wide productivity boom could lift potential growth and equilibrium real rates. The dot-com era offers a precedent: strong US growth helped push 10-year Treasury yields above 6% despite relatively benign inflation expectations. A comparable AI-driven productivity shock could have a similar effect.

Third, fiscal risk. A sharp deterioration in confidence over US and European fiscal trajectories could generate significant government-bond underperformance versus swaps. In this scenario, the move

toward 6% and 4% would reflect rising fiscal and term premia rather than expectations of tighter monetary policy.

Our bold call: Long tenor rates are forced to lurch lower on official sector intervention

At the extreme, policymakers could decide that rising bond yields pose an unacceptable threat to financial stability. In the eurozone, that could mean the ECB overlooking fiscal recklessness and prioritising the stability of the system and the euro. Existing programmes leave it with considerable firepower to contain yields and fragmentation.

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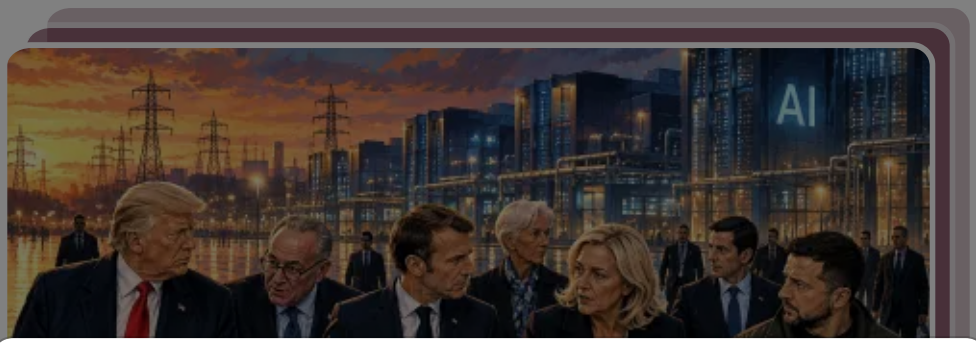

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Energy markets remain under pressure as hopes for a de-escalation in the Middle East reduce geopolitical risk premiums. Oil extended its losses as Gulf supply flows continued to recover, while European gas also moved lower

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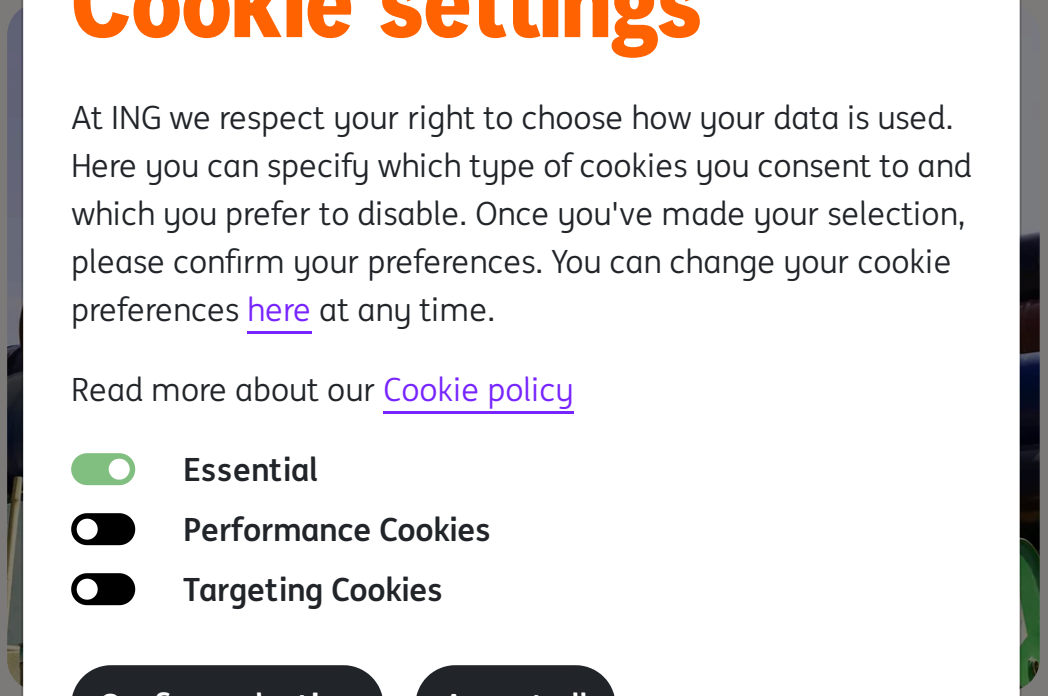

Energy – Oil extends losses

Oil prices extended their decline on Tuesday, with Brent falling below $92/bbl and WTI trading around $86/bbl. The market has continued to unwind some of the geopolitical risk premium built into prices in recent weeks as expectations grow that the conflict between the US and Iran could move towards de-escalation.

Signs that regional oil flows are recovering have added to the downward pressure. Crude exports from the Persian Gulf are estimated to have returned to around 80-85% of pre-war levels, including pipeline volumes, while refined product shipments have recovered to roughly 35-40%. Reports that Iran may be softening

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its position on control of the Strait of Hormuz have also reduced concerns over a prolonged disruption to one of the world's most important oil transit routes.

The improvement in regional flows is starting to show up in Chinese trade data. China's crude oil imports increased 13% month-on-month in October to around 42mt, or 9.9m b/d, helped by a recovery in shipments from the Persian Gulf and stronger Iraqi volumes. However, imports were still around 13% below year-ago levels, highlighting the lingering impact of the conflict on supply.

Away from the Middle East, disruption to energy infrastructure r
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US inventories increased by 77Bcf last week, slightly less than expected, taking total stocks to 3.801Tcf, around 2.8% below the same point last year.

European gas moved in the opposite direction, with front-month TTF trading around €81/MWh. Expectations for an easing of Middle East tensions have reduced concerns over energy flows through the Strait of Hormuz, taking some of the geopolitical premium out of European gas prices.

Metals - Gold slips as rate expectations remain a headwind

Gold edged lower in early trading on Tuesday, with spot prices hovering around $4,100/oz as expectations for tighter US monetary policy continued to weigh on the market. The move follows Monday's rebound, when bullion benefited from a weaker dollar and a sharp fall in oil prices.

The prospect of another Federal Reserve rate hike remains the key near-term headwind for gold. Recent comments from Fed officials have maintained a relatively hawkish tone, while resilient US

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We remain constructive on gold over the medium term, with central bank buying and broader geopolitical uncertainty continuing to provide support. However, the prospect of higher US rates and renewed dollar strength could keep gold under pressure in the near term.

Commodities Feed

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The direct pass-through from oil to rates has weakened compared with a few months ago, as markets turn their attention to inflation data. We expect the US core CPI reading to come in at 0.3% MoM, which is too hot to support lower rates. The ongoing AI jitters do help a 10yr UST yield of 5% look relatively attractive, supporting inflows into longer rates

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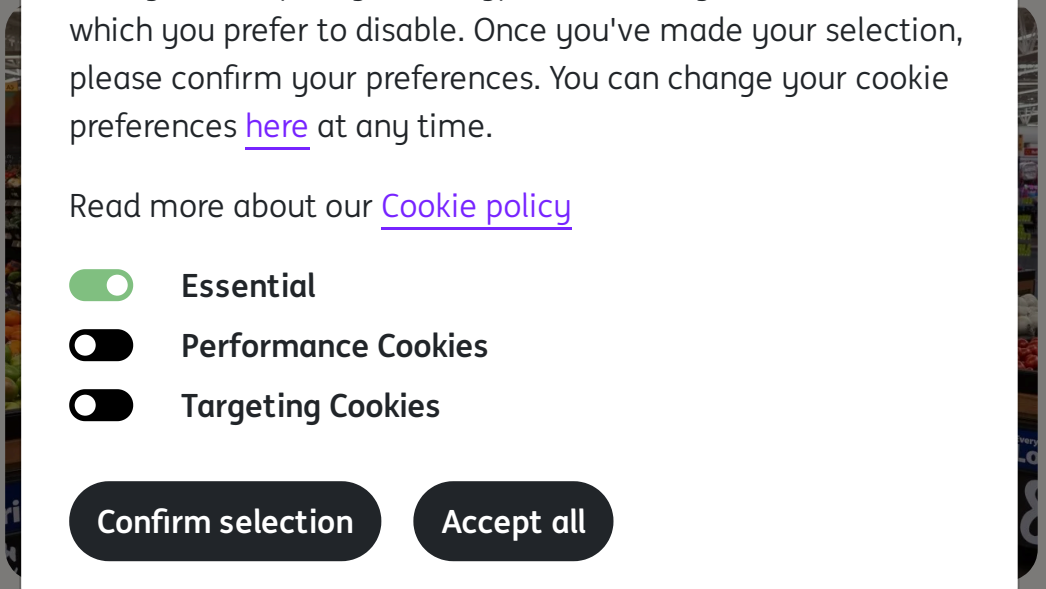

Lower oil doesn't have as strong an impact on rates as a few months ago

Risk sentiment improved a tad on Monday, helped by oil easing lower and a recovery in AI stocks. But the bid for duration seems to stick and most global 10yr rates managed to tick a few bp lower. Flows data from the last few weeks already reflected increased demand for longer-dated bonds, even before the AI jitters started. Concerns about stretched equity prices can further feed the relative value play whereby a 10yr UST yield of around 5% could look attractive.

Having said that, we still warn about the upside risks to rates in the near term. Markets are constantly rotating their attention between AI and inflation concerns, keeping volatility high. Next up is the US CPI number, which consensus still sees coming in hot at 0.3% MoM for the headline figure. Our economist also expects the core reading to come in at 0.3%, which does not look good on an annualised basis.

Brent oil ticking closer to $90 per barrel helps ease inflation risks but doesn't remove the upside risks. Rates were much more sensitive to oil prices a few months ago, but the correlation has diminished significantly. The damage has been done in terms of h
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There is no relevant data out of Europe on Tuesday, but among other things, the BoE's Watcher conference will feature a number of central bank speakers from the BoE as well as the ECB, including chief economist Lane.

In primary markets, the EU will conduct its last syndicated sale for the year with taps of the 5y and 20y benchmarks. The Netherlands auctions 10y DSLs (up to €3bn). The UK auctions 29y Gilts (£1bn), and the US Treasury sells new 10y notes (US$42bn).

Rates Daily

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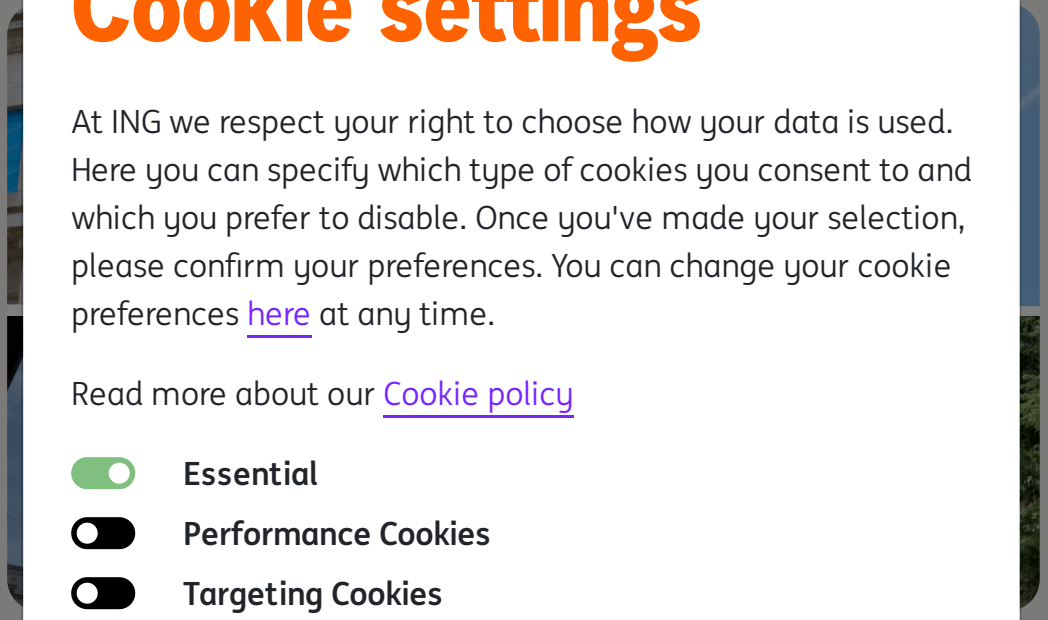
Here's our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England, the Bank of Japan and the People's Bank of China over the coming months

James Knightley, James Smith, Carsten Brzeski, Chris Turner and L



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prompted the Fed to hike rates in September and signal that at least one additional rate increase is likely.

This was all the ammunition markets needed to price in at least three additional 25bp moves. However, caution is creeping back into market pricing with officials skipping the October Federal Open Market Committee (FOMC) meeting despite higher-than-expected inflation prints. Instead, the near-uniform message is that the Fed is under no immediate pressure to hike amid growing evidence that interest-rate-sensitive parts of the economy are cooling while wage pressures look increasingly benign.

Additional Fed rate hikes will do nothing to ease tensions in the Middle East and likely do little to cool the strong pipeline of tech investment. We think the Fed will hike once more, at the December FOMC meeting, after which we expect a prolonged pause well into 2027.

European Central Bank

Another rate hike in December looks like a done deal, but looking beyond this year, the outlook for the ECB is clearly less certain. In fact, two main factors will be crucial for the ECB in 2027. One, the intensity and duration of the war in the Middle East and, with it, the t
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reached sufficient depth and longevity to justify further action.

Still, there's little evidence so far of second-round effects. Food inflation is remarkably benign. Our gauge of "energy intensive" inflation is actually down this year. And the jobs market is sufficiently cool, meaning wage pressures are unlikely to build materially. For now, it's too early for the Bank to let its guard down.

The data through winter and early spring will be crucial, particularly the April CPI report released in May, which is heavily affected by annual price resets. If by then there are still minimal signs of second-round effects, we think the Bank will feel comfortable

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turning more dovish by the summer. Ultimately, this could enable the BoE to cut rates before the end of 2027.

Bank of Japan

BoJ policy normalisation will continue. In October, the BoJ reached a milestone: finally hitting its 2% inflation target. That target had been set in 2013. The BoJ openly admits that real interest rates are negative. The debate naturally moves on to how quickly the 1.25% policy rate will be taken to neutral – commonly seen in the 1.75-2.00% area. We now look for 25bp hikes at the December and March meetings as the quarterly tightening cycle continues.

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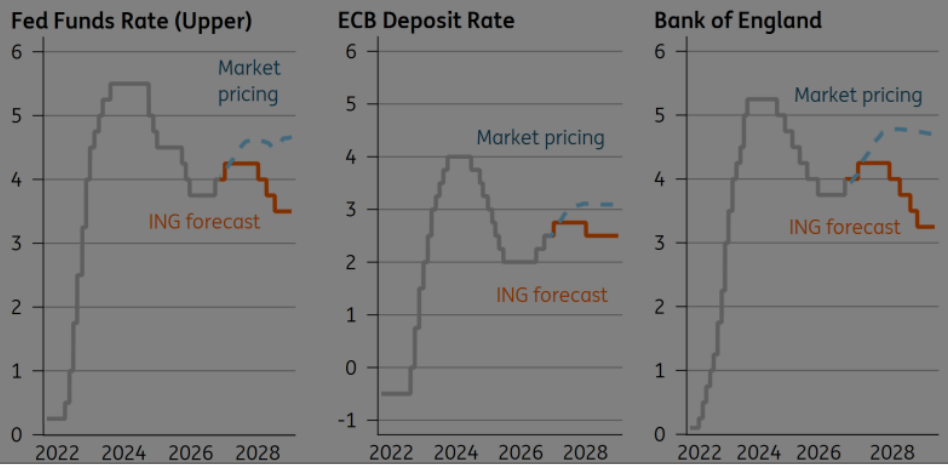
the worst levels since the pandemic, and could clearly benefit from further policy support. Third, the labour market looks soft, with lower wage growth and high youth unemployment.

The PBoC has preferred targeted easing measures rather than policy rate cuts. Bank net interest margins hit record lows and global central banks shifted into rate hike mode in 2026. We still see scope for both in 2027, especially if external demand starts to show signs of weakening. We currently look for a 10bp rate cut in mid-2027.

Our view on the major central banks



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Our base case assumes solid growth, cooling inflation and the Fed hiking once more as Middle East tensions subside. However, if President Trump feels constrained after the midterm elections and hawks within the Administration push for more aggression on Iran, we will face a very different economic outlook. Our bold call envisages an AI revolution

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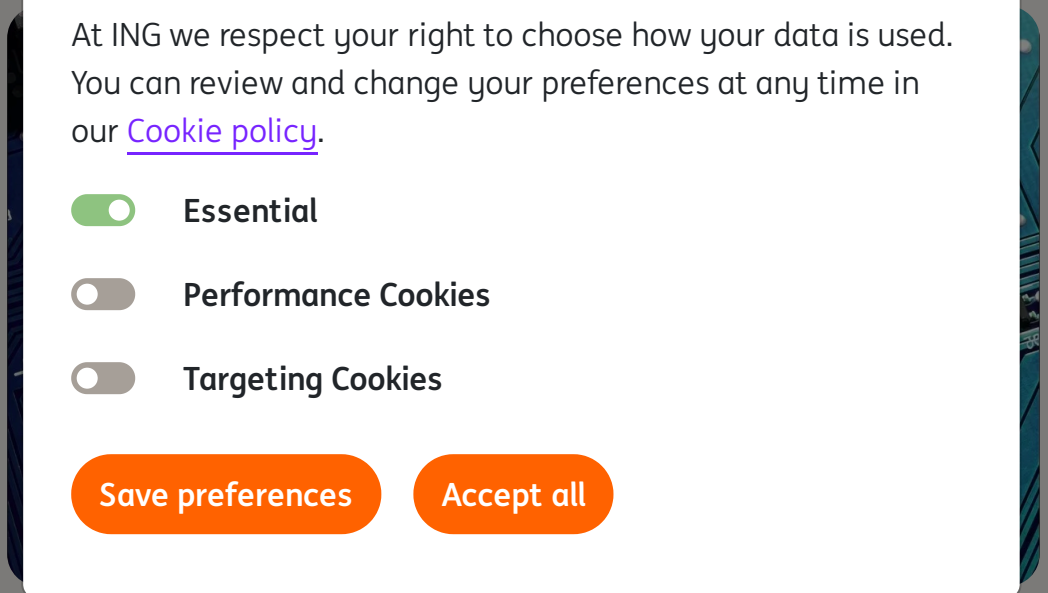

AI investment could supercharge US economic growth

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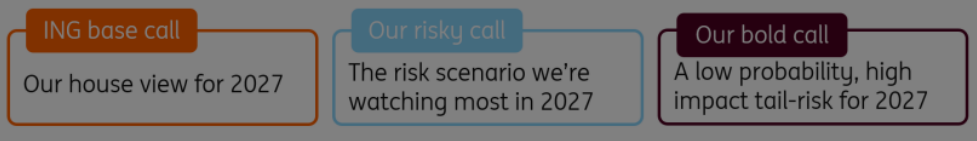
How to read our three calls for 2027



Source: ING

ING's base call: Solid growth and cooling inflation remains our call

We continue to expect respectable US growth of 2-2.5% over the next couple of years, but with ongoing bifurcation. Wealth gains are supporting spending among higher-income households, while weaker wage growth is pressuring middle- and lower-income households.

Within business investment, tech-related capex shows little sign of slowing, but appears to be cannibalising investment spending elsewhere and is contributing to the low-hire, low-

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Our risky call: Constrained Trump goes all-in for regime change in Iran

With President Trump constrained by a Democratic-led Congress, foreign and trade policy remain key sources of risk to our base case. For example, Iran hawks within the Administration could convince him that diplomacy won't work, meaning regime change in Iran is required. Disruption in the Gulf would then intensify, with energy prices spiking. At the same time, President Trump could demand NATO involvement, applying onerous tariffs on imports from members that refuse to participate in the conflict with Iran.

In this scenario, rising inflation could prompt the Fed to raise rates above 5%. Government borrowing would rise on military spending, but Treasury yields would be held down by 'safe-haven' buying as equity markets plunge. Recession risks would then mount through demand destruction as unemployment climbs. Iran would eventually be weakened sufficiently that attacks cease and energy flows resume. Oil, natural gas and fertiliser prices would then subside, with inflation falling rapidly. Monetary policy would be eased aggressively, but it would be too little, too late to prevent a painful downturn for the global economy.

Our bold call: Party like it's 1999? US growth hits 5% in 2027

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projections and lower inflation prompt Treasury yields to plunge. The Fed cuts rates while mortgage rates drop below 4%, triggering a recovery in the residential property market. The economy booms broadly, with equity markets soaring to new highs.

US Growth Federal Reserve

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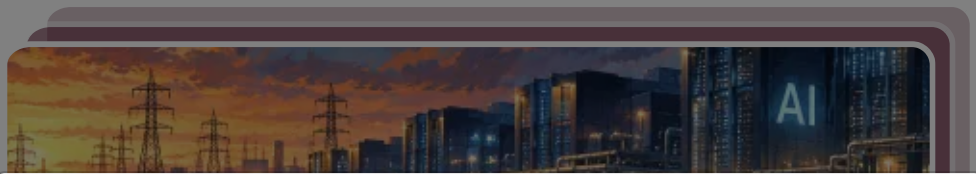

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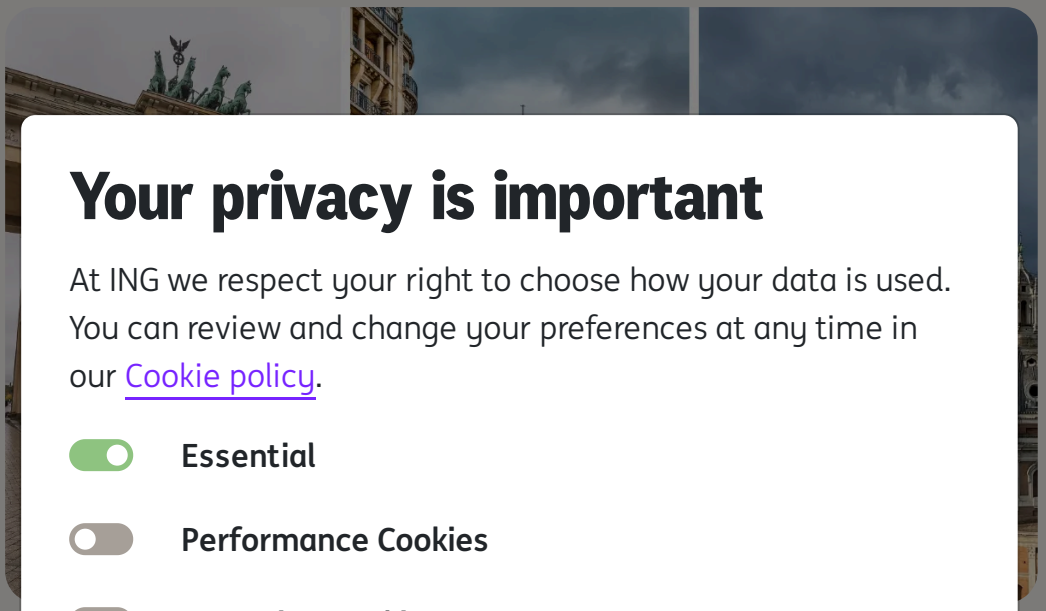
Germany, France and Italy face a subdued outlook in 2027, with fiscal policy and politics playing a key role

Carsten Brzeski, Charlotte de Montpellier and Paolo Pizzoli



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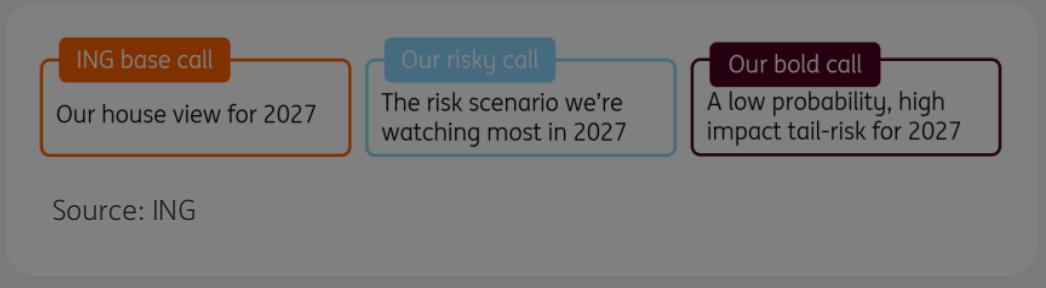

Source: ING

Germany: Politics vs economy – round two

2026 was the year of unexpected resilience, despite a continuing struggle to decide and actually implement structural reforms. Still, the economy delivered its strongest growth outcome since 2022, driven chiefly by longer-term fiscal support for defence and

infrastructure. Some of the industrial momentum should carry over into 2027, as will fiscal stimulus.

The main question, however, is whether fiscal stimulus will once again be enough to offset the lack of competitiveness-enhancing reforms. Whether the government can implement already announced reforms, enact further-reaching reforms to reduce bureaucracy and taxes and develop a longer-term strategy for affordable energy will determine whether the current rebound could actually turn into a recovery. For now, we expect 2027 growth to come in at around 1%.

France: Weak growth keeps the fiscal p

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presidential election and possibly beyond as parliamentary elections are likely to follow. Given the high likelihood that no stable majority will emerge, the risk premium on French bonds will likely remain elevated in the first half of 2027.

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Italy: Growth set to decelerate, notwithstanding a mildly expansionary budget

Italy's economy should continue to grow in 2027, but at a slower pace. Domestic demand will remain the key driver, despite higher policy rates, elevated inflation and the recovery plan's expiry. Unless energy prices turn lower soon, inflation is likely to stay

above 5% in the first quarter, squeezing purchasing power. Resilient employment will only partly cushion household disposable income. On the investment front, the recovery plan's expiry is likely to slow infrastructure investment, but not trigger a collapse. The latest revisions allow some projects to be deferred through dedicated financial vehicles.

With parliamentary elections due in 2027, most likely in late spring or early summer, the government is temporarily shifting fiscal policy to a very mildly expansionary stance. The budget, now before parliament, uses part of the national escape clause's flexibility for defence and energy, helping to cushion the growth slowdown ahead of the vote.

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9 November 2026
Credit Strategy

US Dollar Credit Supply

October slowdown

Supply for October (US$bn)

	Corporates	Financials
October	58	64

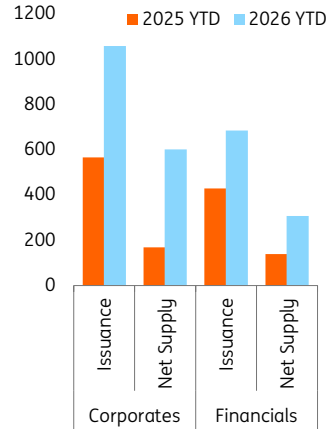
Source: ING, Dealogic

Supply FY and YTD (US$bn)

Corporates	FY	YTD
2020	1166	1095
2021	727	633
2022	558	490
2023	646	578
2024	811	753
2025	920	828
2026	1100	1102
Financials	**FY**	**YTD**
2020	531	468
2021	529	470
2022	523	488
2023	434	396
2024	573	519
2025	727	680
2026	824	824

Source: ING, IGM, Dealogic

Supply & Net Supply YTD



Source: ING, IGM, Dealogic

Drop in supply in October, but Reverse Yankee supply continues to impress

- USD corporate issuance totalled US$59bn in October, down from US$112bn in September. Despite the slower monthly volume, YTD issuance reached US$1,059bn, exceeding last year's full-year level of US$920bn. Corporate net supply remained positive at US$30bn in October, bringing the YTD total to US$601bn.
- TMT remained the largest contributor to USD corporate supply, with US$30bn issued in October and YTD issuance reaching US$435bn, compared with US$208bn over the same period in 2025. Utilities and Industrials & Chemicals remained the next largest issuing sectors, with YTD volumes of US$165bn and US$131bn respectively.
- Corporate Reverse Yankee issuance amounted to €6.8bn in October, lifting YTD volume to €104bn. This has already exceeded the €92bn issued during the whole of 2025, making 2026 the largest year on record for corporate Reverse Yankee issuance.

Bank bond supply slowed down in October, but YTD levels remain ahead of 2025

- USD bank bond supply reached just over US$52bn in October, down US$18bn from September's level. Last month's activity brings the 2026 YTD bank supply to nearly US$633bn, still well ahead of the 2025 YTD at US$495bn.
- The bulk of last month's issuance was printed in the senior non-preferred segment totalling US$36bn. The most significant supply drop stems from both senior preferred and covered segments as issuances were halved compared to the previous month, to stand at US$6bn and nearly US$3bn, respectively. Despite the recent slowdown, USD denominated covered bond supply stands at nearly US$24bn in 2026 YTD, up US$13bn YoY.
- As in the general primary market, we noted a drop in sustainable bank bond supply in October with only US$0.3bn printed (with only one social senior non-preferred bond). This is the second lowest level recorded since the start of the year. It brings the 2026 YTD USD denominated sustainable supply to $11bn, slightly behind the 2025 YTD level at US$11.6bn. While both green and social bank bond issuances are lagging that of last year, we note an increase in sustainable bank bond supply with US$2.4bn.

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Fig 1 USD corporate supply overview (US$bn)

	2022	2023	2024	2025	2025 Oct	2026 Sep	2026 Oct	2025 YTD	2026 YTD	% diff
Auto	29	40	58	47	2	7	1	46	40	-14%
Consumer	57	91	84	100	7	20	15	99	78	-21%
Healthcare	72	114	131	104	7	7	-	84	116	38%
Industrial & Chemicals	90	94	121	103	8	8	7	94	131	39%
Real Estate	26	32	40	43	2	3	2	39	33	-16%
TMT	134	92	125	243	42	43	30	208	435	109%
Utility	100	130	151	159	4	15	4	146	165	13%
Oil & Gas	21	34	71	58	-	7	-	54	43	-21%
Others	29	19	30	63	29	2	-	57	61	8%

Source: ING, Dealogic
Note: USD supply numbers include just IG corporates from America and Europe.

Fig 2 USD financial supply overview (US$bn)

	2022	2023	2024	2025	2025 Oct	2026 Sep	2026 Oct	2025 YTD	2026 YTD	% diff
Banks	407	340	381	522	56	70	52	495	633	28%
of which SNP	338	264	269	342	47	41	37	336	408	22%
of which SP	16	36	51	71	4	14	6	62	103	65%
of which Capital	38	40	60	98	4	9	7	87	98	13%
of which Covered	15	1	2	11	1	6	3	11	24	123%
Finance	67	56	120	134	35	6	11	121	124	2%
Insurance	48	38	73	70	1	22	0	64	68	6%

Source: ING, IGM, Dealogic

Fig 3 USD corporate supply and net supply by month (US$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	32.6	45.8	125.2	45.0	44.8	32.7	25.0	51.7	42.9	41.2	65.4	6.0	558.4
2023	47.9	129.0	68.1	30.7	124.3	33.6	28.4	35.7	46.5	27.3	62.6	11.5	645.7
2024	73.5	138.9	82.2	51.4	77.7	58.3	49.3	91.7	88.7	40.6	40.2	19.0	811.4
2025	55.3	97.6	131.8	47.0	74.7	53.9	28.5	77.2	122.2	101.5	108.1	22.3	920.1
2026	**56.2**	**144.3**	**176.7**	**100.2**	**95.5**	**111.3**	**86.2**	**118.3**	**112.0**	**58.6**			**1059.1**
Net Supply	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
2022	1.3	5.7	68.8	19.1	-8.8	-17.9	-3.1	2.9	2.2	6.4	19.3	-22.9	72.9
2023	9.8	82.0	1.0	-20.9	66.4	-20.5	0.4	1.6	-8.9	3.6	21.7	-15.8	120.4
2024	45.2	94.1	19.1	12.4	34.6	15.7	22.5	50.8	50.8	9.0	-4.7	-6.2	343.2
2025	31.2	63.3	61.1	-12.5	-7.9	-4.3	-7.2	44.6	84.7	60.4	58.8	-0.2	372.0
Redemptions	39.0	73.0	74.7	40.9	38.8	46.5	30.0	44.0	42.9	28.3	39.7	27.1	524.8
2026	**17.2**	**71.2**	**102.0**	**59.4**	**56.7**	**64.8**	**56.2**	**74.3**	**69.2**	**30.2**			**601.1**

Redemptions shown for 2026 only
Source: ING, Dealogic

Fig 4 USD financial supply and net supply by month (US$bn)

Issuance	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2022	77.7	38.4	79.0	58.9	44.7	25.5	54.3	40.5	24.8	44.5	29.1	5.5	**522.6**
2023	61.4	33.7	25.0	34.6	28.9	36.9	53.7	27.9	48.4	45.5	30.7	7.3	**433.7**
2024	79.1	47.7	48.4	51.4	51.3	35.5	74.3	17.7	55.5	58.0	46.5	8.1	**573.3**
2025	124.5	61.6	46.8	57.9	83.0	46.7	55.8	33.9	78.4	91.6	30.9	15.5	**726.5**
2026	**150.9**	**51.4**	**60.8**	**96.3**	**79.8**	**89.2**	**75.4**	**58.3**	**98.6**	**63.6**			**824.1**
Net Supply	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
2022	56.4	31.6	73.9	54.6	35.3	16.4	45.8	35.9	15.1	42.8	24.3	-4.3	**427.6**
2023	30.0	19.7	-3.8	22.1	3.7	10.5	32.9	19.0	18.7	30.4	20.8	-13.0	**190.7**
2024	34.3	26.3	-0.7	15.1	18.6	5.7	47.7	-2.2	12.8	17.5	15.9	-11.6	**179.3**
2025	66.5	16.3	8.8	-0.7	53.0	-2.0	8.2	1.5	29.4	69.6	7.7	-7.1	**251.0**
Redemptions	89.7	16.4	44.7	45.1	29.1	47.4	33.8	30.4	46.6	40.9	39.4	58.4	**521.7**
2026	**61.3**	**35.0**	**16.1**	**51.1**	**50.7**	**41.8**	**41.6**	**27.9**	**52.0**	**22.7**			**400.1**

Redemptions shown for 2026 only
Source: ING, IGM, Dealogic

Fig 5 Corporate supply and redemptions by month, 2026 (US$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Auto	5.4	0.0	9.2	1.4	3.5	1.3	3.9	6.9	6.9	1.3			39.7
Consumer	0.2	10.2	6.8	6.4	10.1	2.1	0.5	7.0	19.8	14.8			77.9
Healthcare	0.0	40.8	15.5	3.5	21.5	0.0	5.0	15.6	7.2	0.0			109.1
Industrial	7.4	7.6	33.1	6.9	9.1	25.9	4.5	19.0	7.5	6.5			127.5
Real Estate	1.4	6.2	2.4	2.9	1.2	1.3	7.4	4.5	3.4	2.2			32.9
TMT	23.0	49.4	78.5	57.2	18.2	40.8	26.0	43.9	43.3	29.5			409.6
Utility	11.8	24.2	18.1	9.8	20.7	28.8	13.1	14.5	14.9	4.4			160.2
Oil & Gas	7.0	1.5	9.3	3.0	6.8	4.2	0.0	3.0	7.3	0.0			42.0
Others	0.0	4.4	4.0	9.3	4.4	6.8	25.8	3.9	1.8	0.0			60.3
Redemptions	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Auto	5.4	0.0	6.1	4.8	0.3	1.3	2.0	5.0	1.4	0.8	4.6	2.8	34.2
Consumer	6.3	23.9	6.4	7.3	1.0	10.2	7.6	5.1	7.1	5.1	8.2	1.7	89.8
Healthcare	1.5	5.8	13.3	1.2	8.9	7.5	1.7	3.2	3.1	0.9	10.5	3.8	61.2
Industrial	9.8	12.4	9.3	9.6	7.4	6.5	2.5	3.9	7.7	2.8	8.1	4.0	83.9
Real Estate	3.1	4.1	1.3	3.1	2.1	2.3	3.2	2.4	2.5	6.0	3.1	1.6	34.7
TMT	1.4	20.6	22.6	7.3	8.7	10.4	5.8	16.8	11.5	7.4	2.1	2.7	117.2
Utility	8.2	1.9	4.8	3.4	3.4	4.4	4.8	4.7	5.6	2.9	1.2	5.9	51.3
Oil & Gas	3.1	2.7	9.7	2.5	5.3	0.1	1.5	2.0	2.8	1.0	1.8	3.5	36.1
Others	0.3	1.8	1.2	1.8	1.8	3.8	1.0	0.9	1.1	1.6	0.3	1.1	16.6

Source: ING, Dealogic

Fig 6 Financial supply and redemptions by month, 2026 (US$bn)

Supply	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Banks	**133.7**	**34.4**	**45.7**	**79.8**	**63.9**	**59.1**	**55.1**	**39.3**	**69.9**	**52.2**			**632.9**
of which SNP	91.4	26.0	23.4	61.8	32.4	30.2	41.3	24.1	41.3	36.6			**408.5**
of which SP	19.9	1.3	13.3	1.2	19.7	16.5	3.3	7.8	13.7	6.3			**102.7**
of which Capital	22.5	7.1	5.5	12.8	11.1	10.5	8.6	4.2	9.5	6.6			**98.1**
of which Covered	0.0	0.0	3.5	4.0	0.7	2.0	2.0	3.3	5.5	2.8			**23.7**
Finance	8.1	13.8	11.9	10.9	7.1	22.2	18.7	13.0	6.4	11.4			**123.5**
Insurance	9.1	3.2	3.2	5.6	8.8	7.9	1.6	6.0	22.3	0.0			**67.7**
Redemptions	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Banks	**74.2**	**10.0**	**32.3**	**34.1**	**16.3**	**34.4**	**26.0**	**19.5**	**37.0**	**29.8**	**29.2**	**52.2**	**394.8**
of which SNP	68.7	9.4	24.4	31.4	9.8	25.8	19.9	18.0	27.5	21.2	20.7	44.1	**320.6**
of which SP	4.0	0.0	0.8	0.0	0.0	1.6	2.7	0.5	0.8	1.8	1.0	0.0	**13.1**
of which Capital	1.5	0.0	6.8	2.8	6.2	3.1	1.5	1.0	3.5	2.5	6.0	5.6	**40.3**
of which Covered	0.0	0.6	0.4	0.0	0.3	4.0	2.0	0.0	5.3	4.3	1.5	2.6	**20.9**
Finance	11.1	5.9	8.8	3.5	10.0	8.2	5.1	7.8	6.4	9.5	7.0	2.5	**85.8**
Insurance	4.4	0.5	3.6	7.5	2.8	4.8	2.7	3.1	3.2	1.6	3.2	3.7	**41.1**

Source: ING, IGM, Dealogic

Fig 7 USD supply. redemptions and net supply by year (US$bn)

Corporates	YTD	FY	Reds	Net	Financials	YTD	FY	Reds	Net
2015	643.0	708.1	256.4	451.7	2015	375.6	423.2	246.6	176.6
2016	639.9	696.0	293.0	403.0	2016	354	396.1	237.3	158.8
2017	646.9	741.4	354.5	386.8	2017	399.8	424.7	267.4	157.3
2018	586.6	649.9	381.7	268.2	2018	412.9	438.1	283.4	154.7
2019	617.5	699.9	429.2	270.7	2019	337	364.3	263	101.3
2020	1095.0	1166.4	453.1	713.3	2020	468.3	530.6	307.3	223.3
2021	633.4	726.9	477.9	249.0	2021	470.3	529.1	337.3	191.8
2022	489.9	558.4	485.5	72.9	2022	488.0	522.6	95.0	427.6
2023	577.9	645.7	525.3	120.4	2023	395.8	433.7	249.9	183.8
2024	752.6	811.4	468.1	343.2	2024	518.8	573.3	399.5	173.8
2025	828.2	920.1	548.1	372.0	2025	680.2	726.5	475.5	251.0
2026	**1102.2**	**1102.2**	**524.8**		**2026**	**824.1**	**824.1**	**525.1**	
2027			552.2		2027			396.5	
2028			624.2		2028			442.0	

Source: ING, IGM, Dealogic

Fig 8 Subordinated supply. 2026 and 2025 (US$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
AT1	8.6	4.6	5.5	8.0	7.1	5.9	4.8	4.2	5.8	5.2			59.4
T2	13.9	2.5	0.0	4.8	4.0	4.5	3.8	0.0	3.7	1.4			38.6
Bank Capital	**22.5**	**7.1**	**5.5**	**12.8**	**11.1**	**10.4**	**8.6**	**4.2**	**9.5**	**6.6**			**98.0**
2025	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
AT1	8.1	11.3	0.5	3.7	2.7	3.5	10.3	1.1	9.7	2.3	3.5	4.1	60.5
T2	6.7	4.0	3.7	0.8	0.5	5.5	4.8	4.3	4.8	1.5	1.8	1.4	39.8
Bank Capital	**14.8**	**15.3**	**4.2**	**4.5**	**3.2**	**9.0**	**15.1**	**5.4**	**14.5**	**3.8**	**5.3**	**5.5**	**100.3**

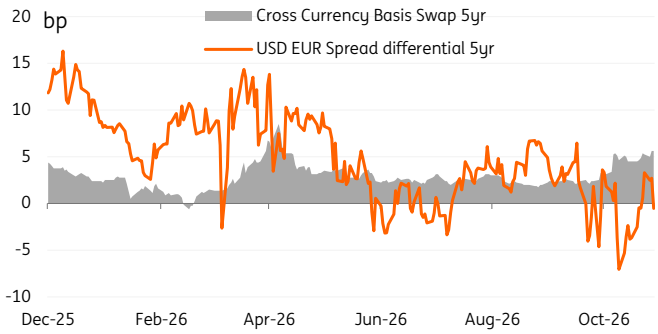
Source: ING, IGM, Dealogic

Fig 9 Reverse Yankee supply. 2026 and 2025 ($bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Corporate	4.2	12.1	24.2	5.3	18.5	4.7	5.2	2.6	12.3	6.8			95.8
Financial	5.1	11.6	0.3	1.4	1.8	2.9	5.1	1.7	3.5	7.2			40.6
Total	**9.2**	**23.7**	**24.5**	**6.7**	**20.3**	**7.6**	**10.3**	**4.3**	**15.8**	**14.0**			**136.3**
2025	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Corporate	2.5	16.2	3.4	10.2	11.2	6.7	5.4	0.6	7.5	1.3	25.6	1.8	92.1
Financial	8.6	1.4	5.1	10.7	2.9	3.6	4.8	1.5	1.8	6.0	13.0	2.8	62.0
Total	**11.1**	**17.6**	**8.5**	**20.8**	**14.1**	**10.3**	**10.2**	**2.1**	**9.3**	**7.3**	**38.6**	**4.5**	**154.2**

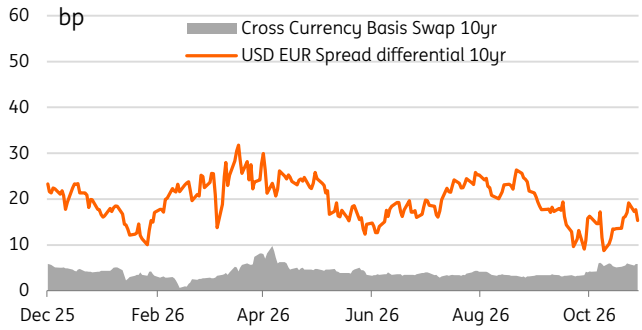
Source: ING, Dealogic

Fig 10 XCCY 5yr



Source: ING, IHS Markit, Refinitiv

Fig 11 XCCY 10yr



Source: ING, IHS Markit, Refinitiv

Fig 12 US. Yankee and Reverse Yankee supply (US$bn)

Corporates	Domestic	Yankee	Rev Yankee ($)	Financials	Domestic	Yankee	Rev Yankee ($)
2015	610.0	107.7	62.6	2015	302.8	128.0	28.6
2016	587.6	113.9	65.8	2016	282.6	114.2	45.6
2017	652.4	102.0	65.8	2017	312.0	112.6	35.6
2018	522.3	130.5	32.0	2018	307.6	131.7	18.4
2019	609.2	95.4	98.3	2019	269.1	96.4	29.2
2020	1029.8	151.6	68.9	2020	406.5	126.1	25.3
2021	627.6	104.8	64.5	2021	414.2	167.3	41.6
2022	485.8	83.9	34.0	2022	390.4	147.3	29.8
2023	559.8	100.6	44.0	2023	300.1	150.4	13.1
2024	686.9	142.3	65.4	2024	435.5	167.4	27.2
2025	794.4	139.8	92.1	2025	455.4	165.9	62.0
2026	**982.5**	**138.1**	**104.3**	**2026**	**409.3**	**374.2**	**40.6**

Source: ING, IGM

Fig 13 ESG supply per month 2026 (US$bn)

Corporate	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Green	0.5	1.6	0.0	4.6	0.5	1.0	0.8	3.9	1.5	1.6			16.0
Social	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0
Sustainable	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0
ESG	**0.5**	**1.6**	**0.0**	**4.6**	**0.5**	**1.0**	**0.8**	**3.9**	**1.5**	**1.6**			**16.0**
Financial	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Total**
Green	1.0	0.0	0.8	0.5	1.5	1.3	0.0	0.0	0.5	0.0			5.6
Social	1.0	0.5	0.0	0.0	0.0	0.0	0.6	0.0	0.6	0.3			3.0
Sustainable	1.6	0.0	0.0	0.0	0.5	0.0	0.3	0.0	0.0	0.0			2.4
ESG	**3.6**	**0.5**	**0.8**	**0.5**	**2.0**	**1.3**	**0.9**	**0.0**	**1.1**	**0.3**			**11.0**

Source: ING, IGM, Dealogic

Fig 14 ESG supply per year and YTD (US$bn)

Corporate	2022	2023	2024	2025	2026	2022 YTD	2023 YTD	2024 YTD	2025 YTD	2026 YTD
Green	25.1	13.2	21.1	7.1	16.0	22.3	12.7	19.9	4.9	16.0
Social	0.1	0.1	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0
Sustainable	4.9	1.3	0.0	0.0	0.0	4.9	1.3	0.0	0.0	0.0
ESG	**30.0**	**14.6**	**21.1**	**7.1**	**16.0**	**27.2**	**14.0**	**19.9**	**4.9**	**16.0**
Financial	**2022**	**2023**	**2024**	**2025**	**2026**	**2022 YTD**	**2023 YTD**	**2024 YTD**	**2025 YTD**	**2026 YTD**
Green	11.1	20.2	4.1	5.7	5.6	10.7	19.2	4.1	5.7	5.6
Social	3.0	4.3	4.4	4.1	3.0	3.0	4.3	1.4	4.1	3.0
Sustainable	6.4	6.9	6.4	2.2	2.4	3.9	6.4	5.9	1.9	2.4
ESG	**20.5**	**31.3**	**14.9**	**11.9**	**11.0**	**17.6**	**29.8**	**11.4**	**11.6**	**11.0**

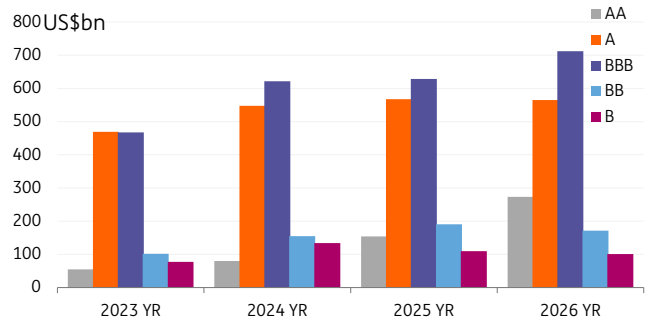
Source: ING, IGM, Dealogic

Fig 15 Corporates and banks issuance by maturity, 2026 and 2025 (US$bn)

2026	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2026
Corp 0-3yr	5.6	18.1	43.7	5.6	16.2	9.7	9.9	20.7	21.9	15.8			167.2
Corp 3-6yr	16.2	24.7	29.0	13.4	22.0	25.8	17.6	29.8	23.2	11.0			212.7
Corp 6-9yr	8.5	18.8	20.8	9.8	10.2	14.4	11.2	14.3	16.9	7.7			132.6
Corp 9-12yr	15.1	37.5	40.5	30.7	25.8	26.4	16.1	25.7	27.2	13.1			258.1
Corp 12-17yr	0.6	4.4	0.2	4.6	1.2	6.8	1.8	1.1	0.0	0.0			20.7
Corp 17yrs+	10.3	40.8	42.4	36.2	20.1	28.2	29.6	26.6	22.7	11.0			267.9
Bank 0-3yr	4.2	0.0	0.0	0.0	1.8	1.7	0.0	1.0	1.4	0.0			10.1
Bank 3-6yr	45.9	6.8	22.0	30.3	31.0	25.8	19.2	19.9	38.0	24.1			263.0
Bank 6-9yr	27.5	9.2	11.0	22.1	16.3	14.7	14.1	8.5	7.5	10.6			141.5
Bank 9-12yr	34.8	7.5	4.8	18.3	6.0	9.6	10.1	5.8	13.7	12.3			122.9
Bank 12-17yr	6.3	2.8	0.0	0.0	1.3	0.0	3.5	0.0	1.0	0.0			14.9
Bank 17yrs+	15.1	6.4	8.0	9.2	7.6	7.5	8.3	4.2	6.3	5.2			77.8
2025	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**2025**
Corp 0-3yr	6.7	17.0	27.4	6.1	8.7	8.5	1.5	9.4	12.4	7.6	12.2	0.9	118.2
Corp 3-6yr	14.0	16.9	23.0	17.2	18.2	14.2	9.8	14.2	26.5	12.2	23.5	5.1	194.6
Corp 6-9yr	5.2	10.6	14.6	3.1	10.0	5.4	3.9	10.5	14.6	11.5	11.4	2.9	103.8
Corp 9-12yr	18.6	30.0	40.4	14.9	25.7	17.9	10.8	26.3	33.2	19.9	29.3	5.2	272.3
Corp 12-17yr	0.6	2.2	1.0	1.1	0.0	2.0	0.1	1.6	3.2	1.6	1.1	0.2	14.6
Corp 17yrs+	10.3	20.9	25.5	4.7	12.2	5.9	2.3	15.3	32.3	48.7	30.6	8.1	216.7
Bank 0-3yr	0.0	0.8	0.0	1.3	7.0	0.0	0.0	0.0	0.0	0.0	0.0	0.8	9.8
Bank 3-6yr	45.0	13.4	22.2	16.1	27.2	18.3	13.3	7.3	18.9	16.5	6.8	3.4	208.4
Bank 6-9yr	27.8	10.9	3.4	14.5	20.2	6.1	9.8	0.5	13.4	16.4	5.0	1.0	128.8
Bank 9-12yr	27.3	11.1	4.8	11.8	6.8	8.4	7.3	6.9	12.8	20.5	2.0	1.4	120.8
Bank 12-17yr	0.0	0.0	1.8	0.0	0.0	0.0	0.0	0.0	1.8	0.0	0.4	0.0	3.9
Bank 17yrs+	13.4	13.3	1.8	3.7	3.2	4.0	10.3	2.4	9.7	2.3	4.7	4.1	72.6

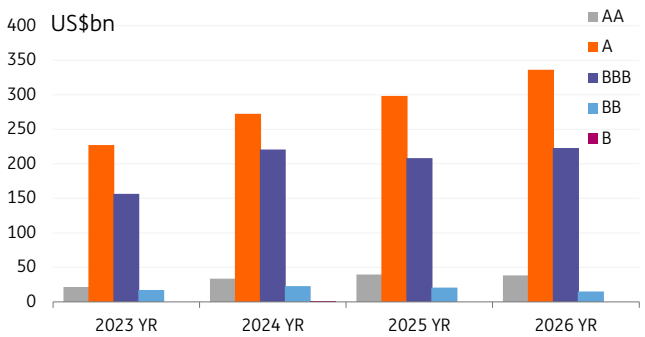
Source: ING, IGM, Dealogic

Fig 16 Corporate supply per S&P rating (US$bn)



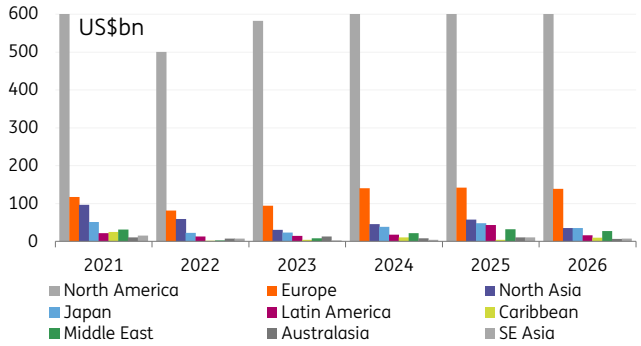
Source: ING, Dealogic

Fig 17 Financial supply per S&P rating (US$bn)



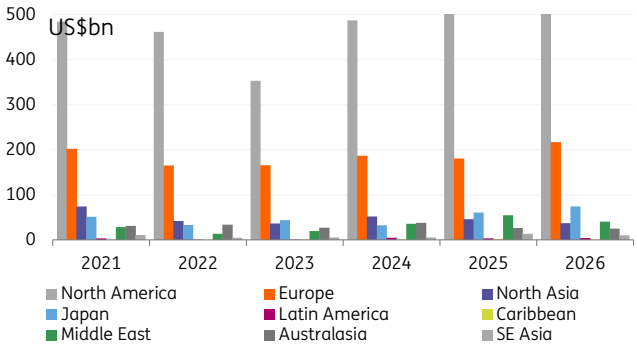
Source: ING, Dealogic

Fig 18 Corporate supply per country (US$bn)



Source: ING, Dealogic

Fig 19 Financial supply per country (US$bn)



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The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

Carsten Brzeski, Bert Colijn, James Knightley, Deepali Bhargava, James Smith, Lynn Song, Jan Frederik Slijkerman and Amrita Naik

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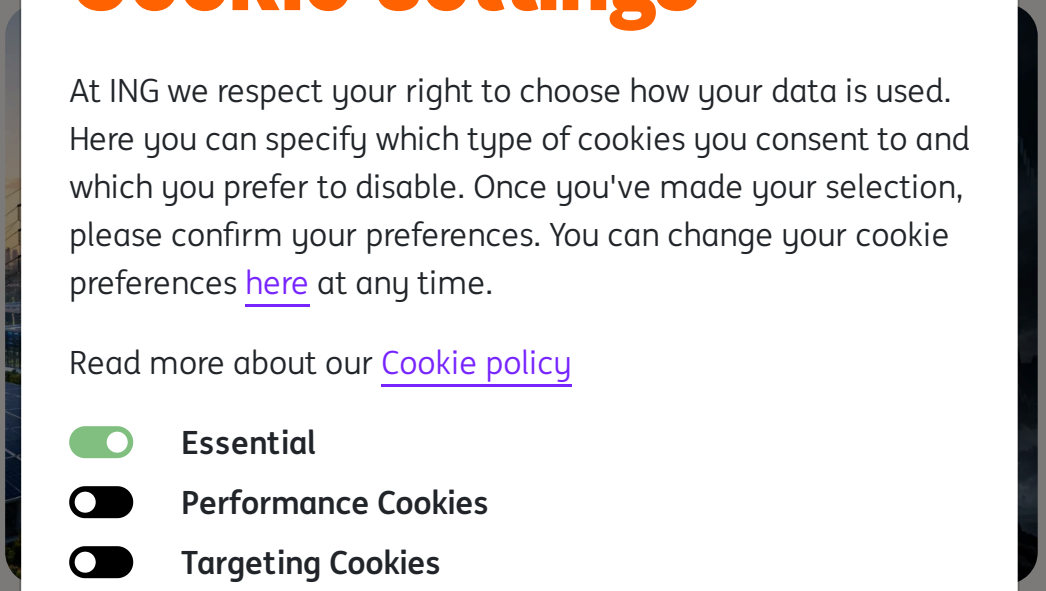

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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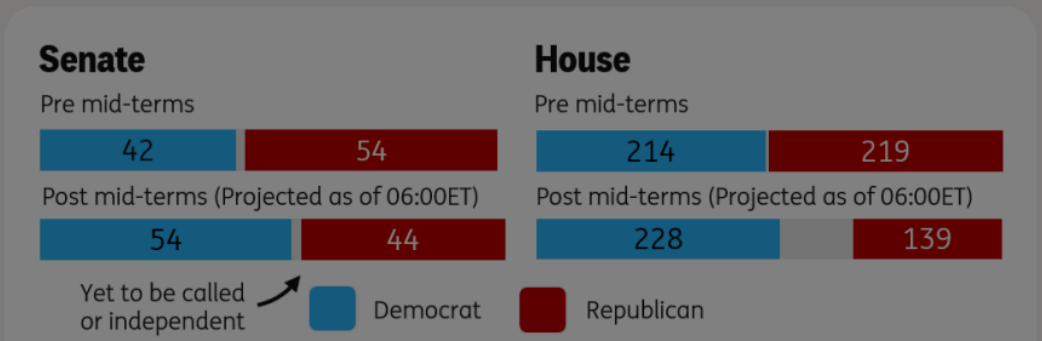
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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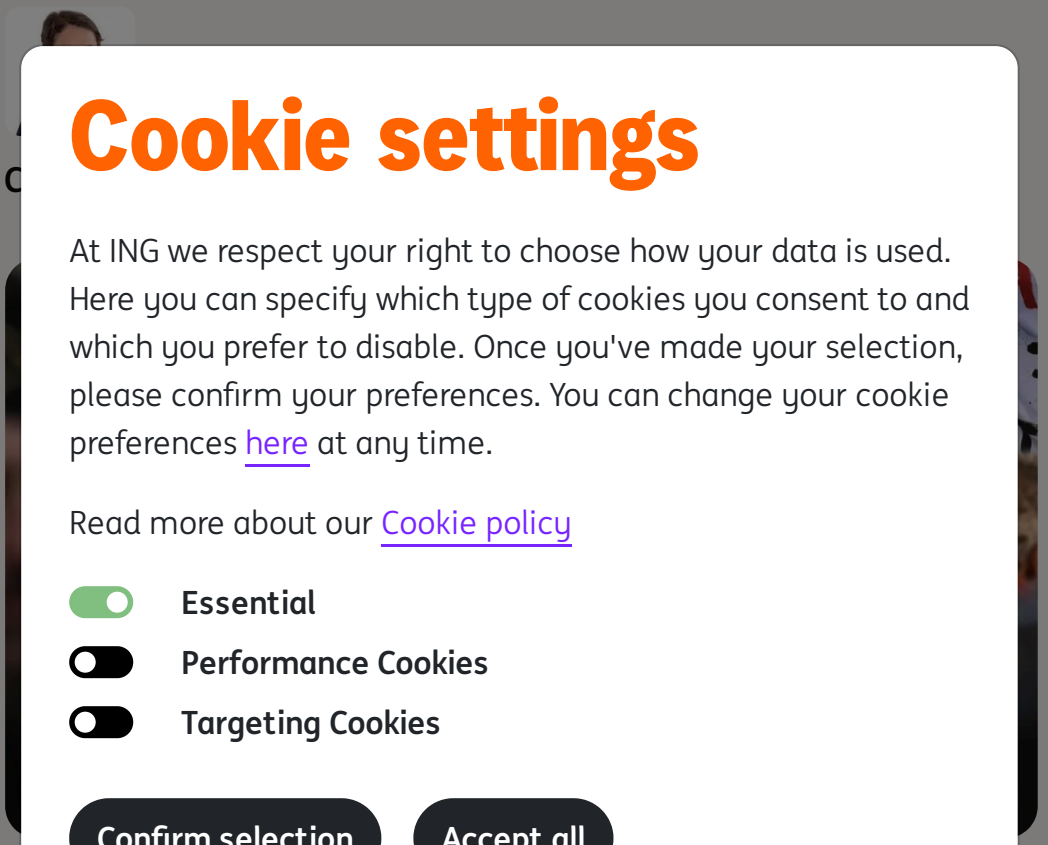
Thursday's nationwide mobilisation over wages and purchasing power will add pressure on a French government already struggling with weak growth, a fragile labour market and an increasingly unmanageable budget. Its options for responding to social discontent are narrowing as higher borrowing costs further weaken the outlook for public debt



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Pressure mounts for action on purchasing power

What began as a student-led protest has grown into a broader social movement, adding to the government's challenges as it struggles to get its 2027 budget through parliament.

The mobilisation continued during the school holidays, with between 320,000 and 500,000 people taking to the streets last Saturday, fewer than in previous weeks but hardly the pause the

government had hoped for. The next test will come on Thursday, 5 November, when all the main trade unions will mobilise over wages and purchasing power, with students and public sector workers expected to join the protests.

Under pressure, the government is considering raising the minimum wage by more than the automatic increase of around 1% due in January, possibly adding another 0.5 to 0.6 percentage points. This would be the first discretionary increase since 2012. But employers are strongly opposed, as they are already facing higher labour costs through planned cuts to social contribution exemptions. A further rise in the minimum wage could therefore e
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Budget talks are producing a larger deficit, not a solution

These pressures are making an already difficult budget equation even harder to solve. After 10 full days of debate and more than 2,300 amendments examined, France's 2027 budget discussions appear to be going nowhere, except towards a larger deficit than the government intended. While the government aims to reduce the deficit to 5% of GDP in 2027, after an expected 5.4% in 2026, the measures approved so far have pushed it substantially further off course. According to the Finance Ministry, the amendments adopted during the first reading have already worsened the

projected deficit by €23.9bn (total deficit in 2026 will be around €165bn).

The vote on the revenue part has been postponed again, as MPs continue to adopt measures pointing in all directions. Yet the exercise increasingly makes little sense: the fragmented National Assembly is unlikely to approve the budget, leaving the government with two possible escape routes. It could use Article 49.3 to pass the bill without a vote, but would first need to negotiate with parts of the opposition to ensure that a subsequent no-confidence motion fails. For now, there are few signs of such talks. If the motion passed, the government would fall and the b
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hovering close to recession.

The details of the third-quarter figure were also weak: investment fell by 0.6% and net trade subtracted 0.6 percentage points from growth as exports dropped sharply, while inventories provided a temporary offset. The only real positive surprise came from household consumption, which rose by 0.4%. But there is little reason to expect this momentum to last. Consumer confidence fell by five points to 80 in October, its lowest level since June 2013 and well below its long-term average of 100. Households' assessment of whether this is a good time to make major purchases dropped

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sharply, while fears of unemployment increased. Most strikingly, their assessment of living standards fell to its lowest level since the survey began in October 1972. This points to much weaker consumption in the coming months.

The outlook for investment is equally weak. Financing conditions are deteriorating particularly sharply in France: according to the latest ECB Bank Lending Survey, a net 27% of French banks tightened credit standards for businesses in the third quarter, compared with around 8% in Germany, no tightening in Spain and an easing in Italy. Together with weak demand, higher interest rates and uncertainty over taxes and public spending, this is likely t

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uncomfortable. The government had expected public debt to reach 121.7% of GDP in 2027, already a level at which a 5% deficit would be insufficient to stabilise the debt ratio. With growth now likely to be weaker and the deficit higher than assumed in the budget, debt will probably rise even further, and there is little prospect of stabilisation anytime soon.

The sharp rise in borrowing costs only makes the arithmetic worse. The French 10-year yield is currently around 4.9%, more than 155bp above its German equivalent, compared with a spread of around 70bp at the end of 2025. Admittedly, the increase in market

yields feeds only gradually into the effective cost of the debt as existing bonds mature: the implicit interest rate on French public debt is still around 2.2% in 2026. But this also means that a substantial part of the rise in interest costs has yet to come through. Fitch estimates that France would need to reduce its primary deficit from around 2.9% of GDP this year to just 0.4% to stabilise the debt ratio. The adjustment required would become considerably larger if the effective interest rate on the debt gradually converged towards current market yields.

And the 2027 presidential election is unlikely to provide an easy reset. A new president could again find her or himself without a

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simultaneously easing the pressure on the public finances, the government has very limited room to offer measures large enough to make a meaningful difference without making an already worrying fiscal trajectory even worse.

Strikes | Public finances | GDP | France | Eurozone | Deficit

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